situation occurs at point 'E', where MC = MR and MC cuts MR from below.

The equilibrium output is OM and the equilibrium price is OP.

The total revenue of the firm is 'OMQP' and the total cost of the firm is 'OMLK' and thus the total loss is 'PQLK'. This firm incurs loss in the short run.

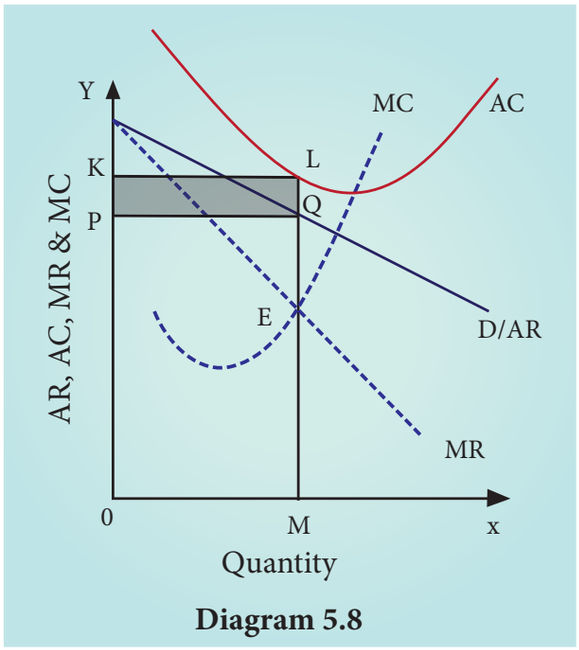


Diagram 5.8

Long-Run Equilibrium of the Firm and the Group Equilibrium

In the short run a firm under monopolistic competition may earn super normal profit or incur loss. But in the long run, the entry of the new firms in the industry will wipe out the super normal profit earned by the existing firms. The entry of new firms and exit of loss making firms will result in normal profit for the firms in the industry.

In the long run AR curve is more elastic or flatter, because plenty of

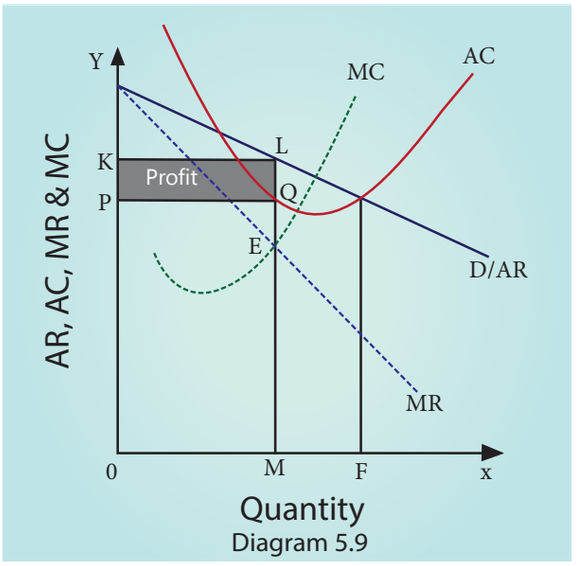


Diagram 5.9

substitutes are available. Hence, the firms will earn only normal profit.

In the diagram equilibrium is achieved at point 'E'. The equilibrium output is 'OM' and the equilibrium price is 'OP'. The average revenue at the equilibrium output is 'MQ' and the average cost is also 'MQ'. Thus, in the long run under monopolistic competition, there is equilibrium when AR=AC and MC=MR. It means that a firm earns normal profit. AR is tangent to the Long Run Average Cost (LAC) curve at point 'Q'.

The only one condition for equilibrium in the short run :	*MC = MR.*
The two conditions for equilibrium in the long run :	*MC = MR and AC = AR.*

5.8.3 Wastes of Monopolistic Competition

Generally there are five kinds of wastages under monopolistic competition.

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